ECONOMIC SURVEYS BY THE OECD

NOVEMBER 1961

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT
PARIS

BASIC STATISTICS

THE LAND

Area (thousand sq. km)	9,964
Agricultural area (% of the total area)	7.7

Major cities (including their metropolitain areas) (1956 census):

Montreal	1,621,000 inhab.
Toronto	1,358,000 inhab.

THE PEOPLE

Population (June 1961)	18,168,000
No. of inhabitants per sq. km	2
Population annual net natural increase (average 1957-1961)	337,000
Net rate of annual increase per 1,000 inhab. (average 1957-1961)	19.3
Labour force, total (June 1961)	6,592,000
Labour force in agriculture (June 1961)	714,000
Immigration (annual average 1956-1960)	156,600

PRODUCTION

G.N.P. in 1960 (millions of Canadian dollars)	35,959
G.N.P. per head (Canadian dollars)	1,979

Origin of Gross Domestic Product:

Agriculture, forestry and fishing	7 %
Mining and quarrying	4 %
Manufacturing	26 %
Construction	7 %
Services	56 %

THE GOVERNMENT

Public consumption (ave. 1956-1960; % of G.N.P.)	18 %
Public investment	4 %
General Government current revenue	27 %
Public debt (Federal and Provincial Govt. gross debt to current expenditure)	366 %

Composition of Parliament:

	House of Commons	Senate
Progressive conservatives	78 %	19 %
Liberals	18 %	74 %
Others and vacancies	4 %	9 %

Last elections: 1958.
Next elections: 1963.

LIVING STANDARDS

Calories per head, per day 1956-1957	3,140
Consumption of energy per head 1959 (O.E.E.C. average = 100)	264
Steel consumption per head 1957 (O.E.E.C. average = 100)	150
Number of passenger cars in use per 1,000 inhabitants (1958)	207
Number of telephones per 1,000 inhabitants (1957)	291
Weekly earnings (industrial average, Canadian dollars, 1960)	76

FOREIGN TRADE

Exports:

Exports of goods and services as % of G.N.P. (average 1956-1960)	20
Main exports (% of commodity exports):	
— Newsprint	15
— Wheat	10
— Uranium	4
— Aluminium	5
— Nickel	5
Main customers (% of commodity exports):	
United States	59
United Kingdom	16
European Economic Community	8

Imports:

Imports of goods and services as % of G.N.P. (average 1956-60)	24
Main imports (% of commodity imports):	
— Machinery	15
— Motor cars	8
— Petroleum	8
— Iron and steel	10
Main suppliers (% of commodity imports):	
United States	70
United Kingdom	10
European Economic Community	5

THE CURRENCY

Monetary unit: Canadian dollar.

Currency units per U.S. dollar:

1960 average	0,97
June-September 1961 average	1.03

ECONOMIC SURVEYS BY THE OECD

CANADA

1961

PUBLISHED BY
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The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the O.E.C.D. shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic co-operation continues in the O.E.C.D., which came into being on 30th September 1961.

The Members of O.E.C.D. are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

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CANADA

1. Economic activity recovered in the spring, following the strong upturn in the United States and the wide range of expansionary measures taken by the Canadian authorities over the past year. Initially the advance was hesitant, but by mid-year activity had definitely accelerated. Unemployment has fallen somewhat, but is still high and the 1961-62 budget announced further action to stimulate activity, including a large budget deficit and measures to facilitate a decline in the exchange rate; the rate had fallen by some 3 per cent since early in 1960, and the budget led to a further decline of about 5 per cent. The trade balance has improved, but with an increase in the deficit on non-merchandise transactions the current account of the foreign balance has remained in large deficit and the inflow of foreign capital has remained substantial.

2. Beyond the tasks of current anti-cyclical policy, the Canadian authorities are confronted with two major problems. They have to secure, in a longer-term perspective, a rate of growth of output sufficient to provide full employment for the rapidly growing labour force of the country, and they have to consider the long-term implications of the present structure of the balance of payments. The continuation of the substantial deficit on current account matched by new capital inflow is seen as unsatisfactory by sections of Canadian opinion on national grounds, and may create economic problems in the future. The difficulties of these problems are enhanced by the fact that, in shaping their policy, the Canadian authorities have to take into account the very important influence which developments in the United States exert on their own economy.

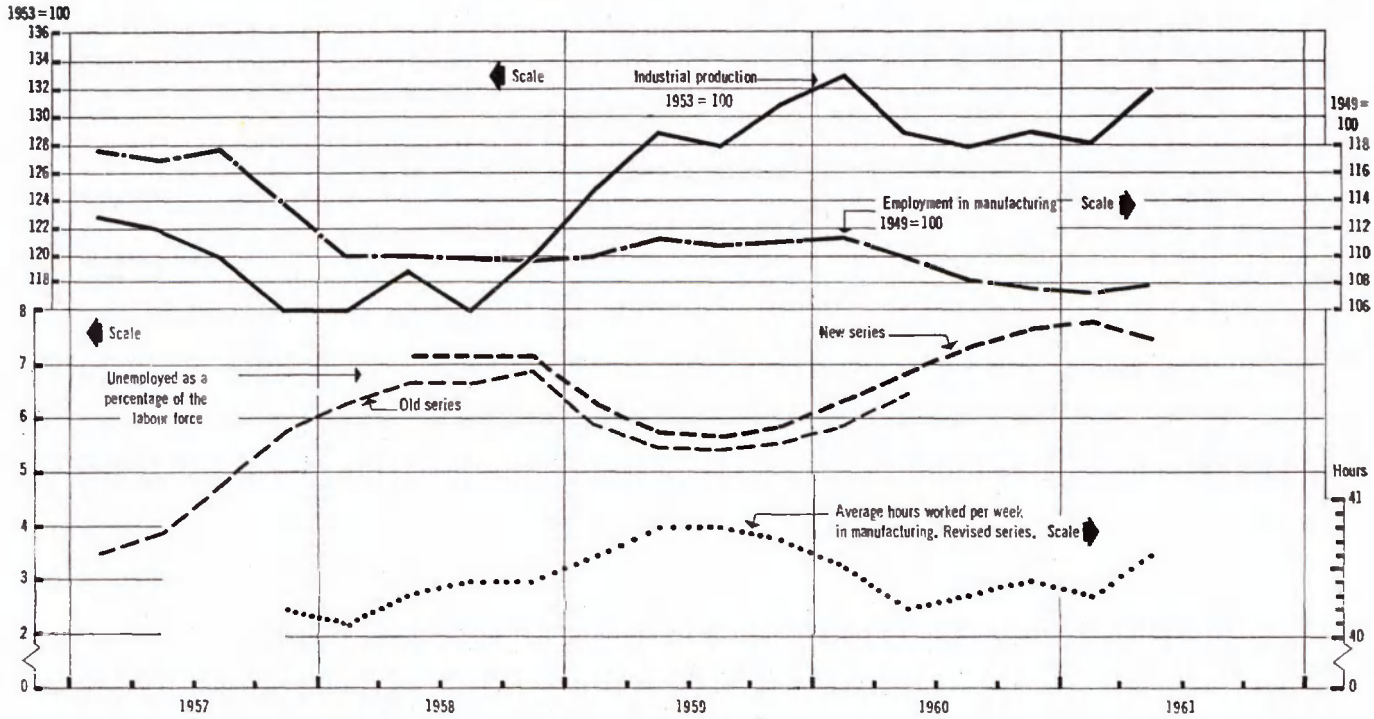
I. OUTPUT AND DEMAND

a) Recent Developments

3. The 1960 recession was mild, and as in previous business cycles the decline in activity in Canada was less than in the United States. The real gross national product has shown a somewhat irregular movement, and by the second quarter of 1961 regained the pre-recession peak reached in the first quarter of 1960. The weakening of demand largely concerned housing, business fixed investment, inventories, and exports to the United States. In the current recovery

Diagram 1. **PRODUCTION, EMPLOYMENT AND HOURS WORKED, 1957-1960**

SEASONALLY ADJUSTED INDICATORS USED THROUGHOUT



Source: Canadian Statistical Review, Dominion Bureau of Statistics.

the main sources of initial strength have been public expenditure, housing, and exports.

Demand factors

4. Merchandise exports, seasonally adjusted, rose in the first half of 1961, following the downward trend of last year. This development reflected notably a renewed rise in exports to the United States, continuing strength in exports to other countries, and growing shipments of wheat, oil and gas. Merchandise imports have shown a declining trend in 1961, largely because imports of cars from overseas have fallen sharply.

5. Residential construction has been increasing since the summer of 1960, although the movement of housing starts has been somewhat erratic. Measures were taken last year to stimulate housebuilding, and housing starts have been higher in the first half of this year, although well below the high level reached in 1958.

6. Business expenditure on new plant and equipment declined in the early stage of the last recession and has since remained at the lower level, influenced by considerable under-utilisation of capacity and lower profits. A survey recently published by the Department of Trade and Commerce suggests that investment plans have been revised slightly upwards in the last few months, although business fixed investment in 1961 as a whole will not be much higher than in 1960. The weakening of business inventory demand was an important factor in the downturn of activity last year, with a high rate of accumulation in the first quarter being replaced by liquidation in the third. Since then, inventories have changed little and inventory demand has not yet contributed much to the current recovery.

7. Personal disposable income, supported by growing transfer payments, was well maintained in 1960 and private consumption, seasonally adjusted, rose fairly steadily throughout the year. After some weakness in personal income and retail sales in the early months of 1961, renewed strength had appeared by mid-year.

8. Government expenditure on goods and services rose steadily throughout the last recession and in the first quarter of the present year was 7 per cent higher than a year earlier, reflecting notably growing provincial and municipal spending. Federal expenditure on goods and services has risen moderately, but transfer payments both to persons and to provincial governments have increased.

Output and employment

9. The recession was reflected mainly in declines in output and employment in the commodity producing industries; in the service industries employment continued to expand. Reflecting the milder

Diagram 2. CHANGES IN THE MAJOR EXPENDITURE COMPONENTS OF GROSS NATIONAL PRODUCT

SEASONALLY ADJUSTED AT ANNUAL RATES — CURRENT PRICES

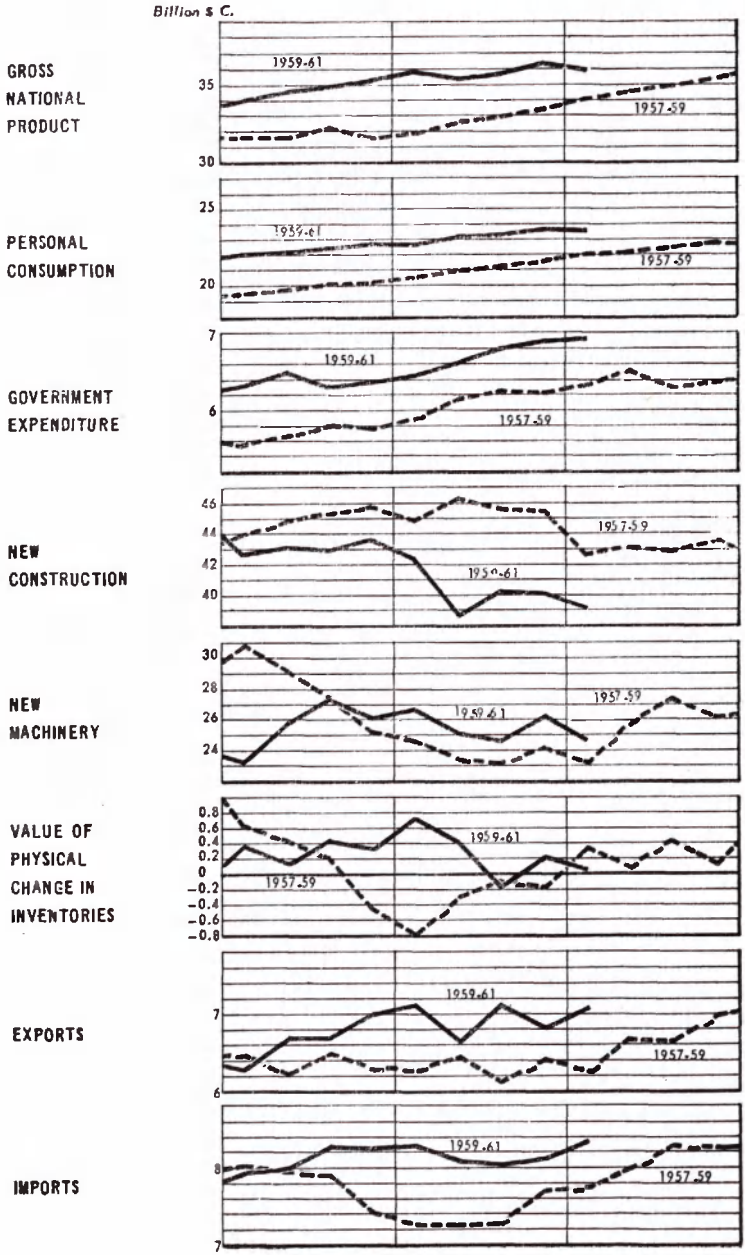
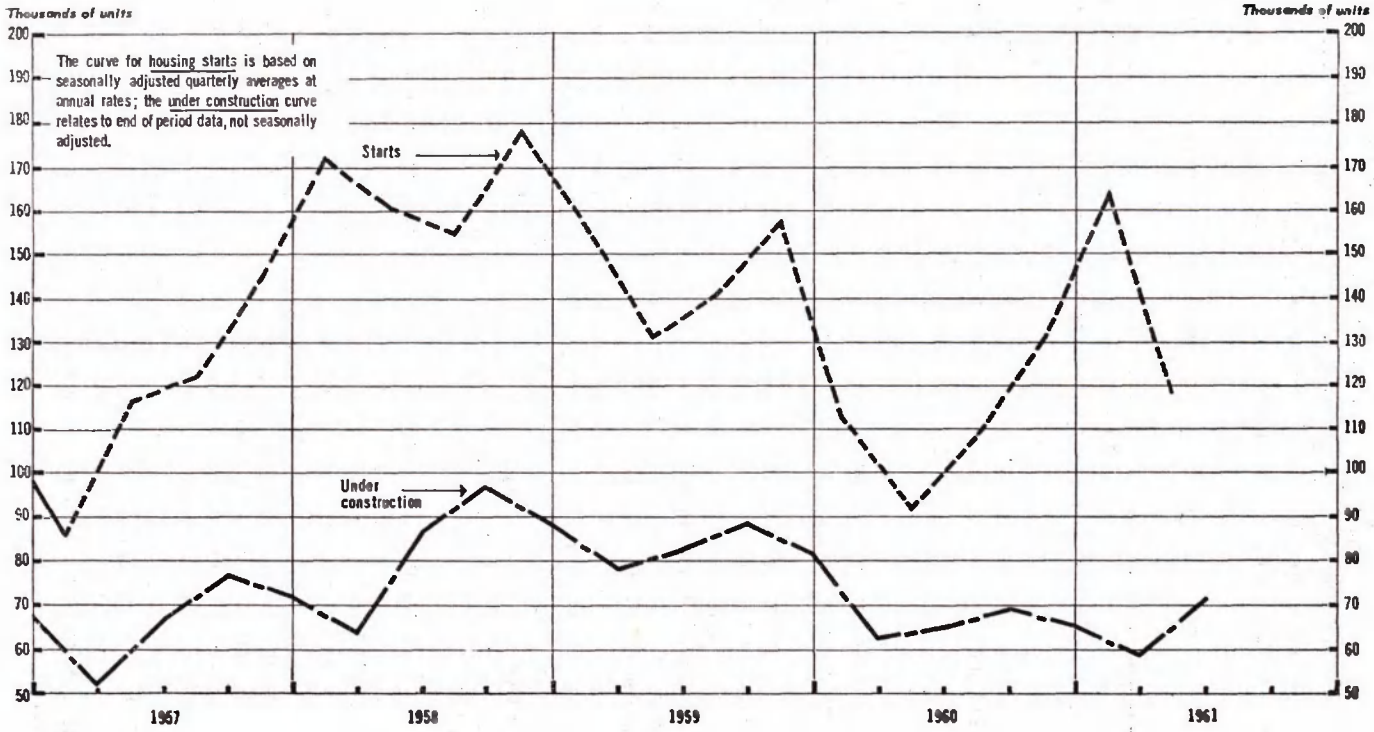


Diagram 3. HOUSING CONSTRUCTION, 1957-1961



Source: Bank of Canada Statistical Summary.

recession in Canada, the recovery in output has been less vigorous initially than in the United States. Industrial production turned up in April and in the second quarter, after seasonal adjustment, was 2.5 per cent higher than in the first, with both durable and non-durable goods industries as well as mining sharing in the expansion.

TABLE 1. INDUSTRIAL PRODUCTION INDICES, SEASONALLY ADJUSTED, 1949 = 100.

	1959	1960				1961	
	4th QTR	1st QTR	2nd QTR	3rd QTR	4th QTR	1st QTR	2nd QTR
All industries	169.4	171.5	167.0	165.7	166.3	165.9	170.2
Mining	261.0	260.2	252.5	251.7	248.9	250.3	263.1
Durables	151.9	153.4	146.3	142.0	142.5	139.8	142.8
Non-durables	151.5	154.1	151.4	151.1	153.3	154.2	156.3

Source: Canadian Statistical Review (DBS).

10. Official sources estimate that the 1961 wheat crop may be reduced by drought to about 260 million bushels, roughly half the normal yield. Wheat and flour exports rose in the 1960-1961 crop year to an estimated 354 million bushels, mainly under the influence of strong demand from Europe and from certain of Canada's other traditional customers. A further significant increase in exports is expected in the current crop year, partly as a result of the build-up shipments to mainland China under contracts covered by a long-term credit agreement signed in April this year. The combined effect of lower crop yields and increased exports is likely to be a marked reduction in Canadian wheat stocks which have not moved below 500 million bushels in the last eight years.

11. Employment did not decline much during the recession; some decrease in the commodity-producing industries was almost offset by a further increase in the service sectors. Male employment declined from early 1960 until the opening months of 1961 and has since recovered, while female employment has shown a continuing increase. But with the labour force growing rapidly, at an annual rate of about 2.5 per cent, the unemployment ratio rose to almost 8 per cent, after seasonal adjustment, in the first quarter of 1961. With an increase in employment after March, the unemployment ratio has fallen somewhat; it stood at 7.4 per cent in June but in August dropped below 7 per cent. The high level of unemployment, however, is not primarily the result of the recent recession, but rather reflects the slow growth of the economy over the last few years together with the rapid growth of the labour force.

b) Some Longer-Term Trends

12. The expansion of production has slowed down considerably in recent years, particularly after 1957. As in the United States, the recovery from the 1958 recession was relatively short and was followed by a new recession well before full employment conditions had been reached. The real gross national product in the first quarter of 1960 was only 6 per cent higher than at the previous peak in the first quarter of 1957; over the same period the labour force rose by 7.5 per cent and employment by 3 per cent. In earlier years Canadian output had been expanding at a much higher rate; the four years between 1953 and 1957, for example, had shown a 15 per cent increase in the real gross national product.

13. The low rate of growth over recent years has clearly been related to the improved world supply position for industrial materials and the slower rate of growth in the United States. These developments in world markets have had a greater influence on business investment than on merchandise exports directly. Their effects on investment activity have been reinforced by the completion of a number of massive individual projects.

14. The decline in business fixed investment has been a major depressive element in recent years. Up to 1957 each business cycle was accompanied by a steady increase in business investment in relation to total output. From 1953 to 1957, business investment outlays rose by more than 50 per cent in value and in the latter year total fixed asset formation amounted to 27 per cent of the gross national product. This was a much higher rate than in most past periods in Canada or than that prevailing in most other countries. This sharp increase, partly financed by foreign capital, was influenced by the view, which was furthered by the shortages that developed during the Korean war, that there would be a great expansion in world demand for primary products of the kind produced in Canada, such as for example iron ore, uranium, non-ferrous metals, timber, oil and gas, and various chemicals. But with demand rising less than expected, the sharp expansion in business investment expenditure was reversed, and in 1960 business capital outlays were almost 15 per cent lower than in 1957.

15. Developments in international trade have had a conflicting influence on domestic growth over recent years. Clearly, developments in the United States have been important, both because 60 per cent of Canadian exports go there, and because of the close production, price, financial and psychological relationships with the United States. In 1960, exports to the United States were only 4 per cent higher than in 1957, reflecting the lower levels of activity in the latter part of the year. On the other hand, sales to other markets, notably Western Europe, have continued to increase vigorously. Imports, influenced by the relatively low level of domestic activity, have tended to decline

TABLE 2. GROSS NATIONAL PRODUCT OR EXPENDITURE IN CONSTANT (1957) DOLLARS

Millions of Canadian dollars.

	1955	1956	1957	1958	1959	1960	SEASONALLY ADJUSTED ANNUAL RATES					
							1960				1961	
							1st QTR	2nd QTR	3rd QTR	4th QTR	1st QTR	2nd QTR
Personal consumption	18,304	19,478	20,072	20,702	21,617	22,273	21,880	22,288	22,292	22,632	22,528	22,876
Government expenditure	5,319	5,664	5,722	5,964	6,013	6,072	5,936	6,000	6,188	6,164	6,184	6,304
Business gross fixed investment	5,682	7,014	7,335	6,827	6,550	6,146	6,468	5,932	6,020	6,164	5,908	5,628
New construction	3,472	4,233	4,512	4,489	4,106	3,747	3,960	3,592	3,720	3,716	3,604	3,536
New machinery and equipment	2,204	2,781	2,823	2,338	2,444	2,399	2,508	2,340	2,300	2,448	2,304	2,092
Change in inventories	+ 461	+ 1,086	+ 231	— 324	+ 274	+ 312	+ 740	+ 428	— 136	+ 216	— 228	— 320
Exports of goods and services	5,894	6,333	6,391	6,372	6,603	6,847	7,100	6,548	7,036	6,704	7,036	7,132
Less: Imports of goods and services	— 6,825	— 7,921	— 7,813	— 7,328	— 8,043	— 7,934	— 8,212	— 7,888	— 7,760	— 7,876	— 8,040	— 7,728
Residual error of estimate	+ 116	— 146	— 29	— 103	+ 197	+ 91	+ 68	+ 168	+ 96	+ 32	— 40	—
Gross national product or expenditure	29,018	31,508	31,909	32,110	33,211	33,807	33,980	33,476	33,736	34,036	33,348	33,892

Source: National Accounts, Income and Expenditure (DBS).

from the extremely high levels reached in 1956-1957 and Canadian producers have been obtaining a larger share of the domestic market. The overall trade deficit has declined significantly, and this has only been partly offset by the increase in the deficit on invisibles. This lower current external deficit has been a stabilising element in the last few years.

16. By international standards, the balance of payments deficit on current account has been large. In the four years 1957 to 1960, this was no doubt influenced by the fact that the Canadian dollar was at a premium on the United States dollar of between 3 and 4 per cent, compared with one of about 1.5 per cent in 1955 and 1956. The upward pressure on the exchange rate resulted mainly from a large inflow of foreign capital, both for direct investment and for purchases of Canadian securities, motivated by interest rate differentials. This premium on the exchange rate contributed to the competitive pressures being experienced in some sectors of domestic manufacturing. The decline in the exchange rate since June 1961 has not yet been reflected in foreign trade statistics.

17. The volume of public expenditure on goods and services has increased relatively slowly in recent years, rising between 1957 and 1960 at an annual rate of about 2 per cent, or in rough proportion to the real gross national product. But transfer payments to the private sector have grown sharply, primarily as a result of an expansion of the social security system and partly because of the automatic increases in social security payments. There has also been an increase in public lending, notably for housebuilding. With only a moderate advance in tax receipts, the cash requirements of the public sector have been relatively high. The size of these cash requirements tended to prolong the public fear of inflation after the basic economic conditions justifying that fear had disappeared. The existence of this inflationary climate no doubt inhibited both the monetary and the fiscal authorities in the pursuit of more expansionary policies. This situation was reflected in the prevalence of higher levels of interest rates than had previously prevailed in a period of rapid economic growth.

18. The slower rate of growth of the Canadian economy in recent years has to some extent been related to particular problems on the supply side, including technological factors and the growth and structure of the labour force. There has, however, been considerable discussion in Canada of the need for more vocational training, better mobility of labour and capital, more industrial research and increased marketing efforts. Increased awareness of these problems has led the authorities to introduce measures designed to cope with them. But the main problem over the last few years seems to have been the slow expansion of aggregate demand, exacerbated by an inappropriate exchange rate.

19. As already said, the slack demand conditions prevailing in the United States in recent years have certainly exercised an important

TABLE 3. BALANCE OF PAYMENTS

Millions of Canadian dollars.

	1955	1956	1957	1958	1959	1960	1960				1961	
							1st QTR	2nd QTR	3rd QTR	4th QTR	1st QTR	2nd QTR
Merchandise exports (adjusted)	4,332	4,837	4,894	4,887	5,150	5,400	1,283	1,323	1,400	1,394	1,262	1,442
Merchandise imports (adjusted)	4,543	5,565	5,488	5,066	5,572	5,545	1,327	1,510	1,318	1,390	1,263	1,484
Merchandise trade balance	— 211	— 728	— 594	— 179	— 422	— 145	— 44	— 187	+ 82	+ 4	— 1	— 42
Invisibles (net)	— 487	— 638	— 861	— 952	— 1,082	— 1,072	— 277	— 283	— 204	— 308	— 346	— 281
Current balance	— 698	— 1,366	— 1,455	— 1,131	— 1,504	— 1,217	— 321	— 470	— 122	— 304	— 347	— 323
Direct investment in Canada	+ 417	+ 583	+ 514	+ 420	+ 550	+ 690	+ 208	+ 155	+ 179	+ 148	+ 125	+ 140
Canadian securities:												
Outstanding bonds and stocks (net)	— 27	+ 199	+ 92	+ 88	+ 201	+ 52	+ 32	+ 39	— 9	— 10	+ 44	+ 66
New issues	+ 166	+ 667	+ 798	+ 677	+ 707	+ 447	+ 209	+ 146	+ 52	+ 40	+ 80	+ 182
Retirements	— 184	— 141	— 133	— 158	— 258	— 253	— 50	— 78	— 32	— 93	— 69	— 96
Foreign securities (net)	— 6	+ 2	+ 6	+ 3	— 33	— 20	+ 11	— 5	+ 7	— 33	0	— 13
Other capital movements	+ 204	+ 152	+ 126	+ 122	+ 360	+ 198	— 83	+ 151	— 50	+ 180	+ 312	+ 192
Official holdings of gold and U.S. dollars (end of period)	1,901	1,936	1,828	1,939	1,869	1,829	1,856	1,774	1,813	1,829	1,935	1,985

Source: Bank of Canada Statistical Summary.

direct and indirect influence on the rate of growth of the Canadian economy. The situation in the two countries, despite evident differences, is strikingly similar in one respect. At a certain stage, in the middle of the 1950's, some important components of final private demand — consumer durables, residential construction — started rising more slowly than in the previous period, or stopped rising altogether. Of even greater importance for Canada was the shift in business investment from an expanding to a contracting influence on demand. Although this change primarily reflected a change in the world supply position for primary products and the completion of some large projects, the declines were also influenced by the sluggishness of final demand. These weaknesses of final demand were accentuated by a weakness in exports to the United States during their periods of recession. They were partly offset by the steps the Federal Government took to increase its expenditures in the form of transfers to persons and to the provinces and municipalities. But the extent to which the Government could act in this direction was limited by the large cash deficits which resulted and by the fact that, despite a floating exchange rate, freedom of action in such a situation is limited by the open nature of the Canadian economy; while expansionary policies could have included steps to depress the exchange rate earlier, any sharp depreciation would have been undesirable. Moreover, contra-cyclical budgetary action in Canada is limited by the division of responsibilities between the Central and local governments under the federal system. The Government has rejected a protectionist and isolationist position and restated its desire to find solutions within a framework of expanding world trade.

II. PRICES AND WAGES

20. Prices have been practically stable over the last eighteen months, apart from seasonal movements in food prices. In June, the retail price index was about 1 per cent higher than in June, 1960, and the wholesale price index was rather lower than a year earlier. Wages have continued to rise, but more slowly than previously; at mid-year hourly earnings in manufacturing were about 2 per cent higher than a year ago, as against an increase of 3.5 per cent over the previous twelve months.

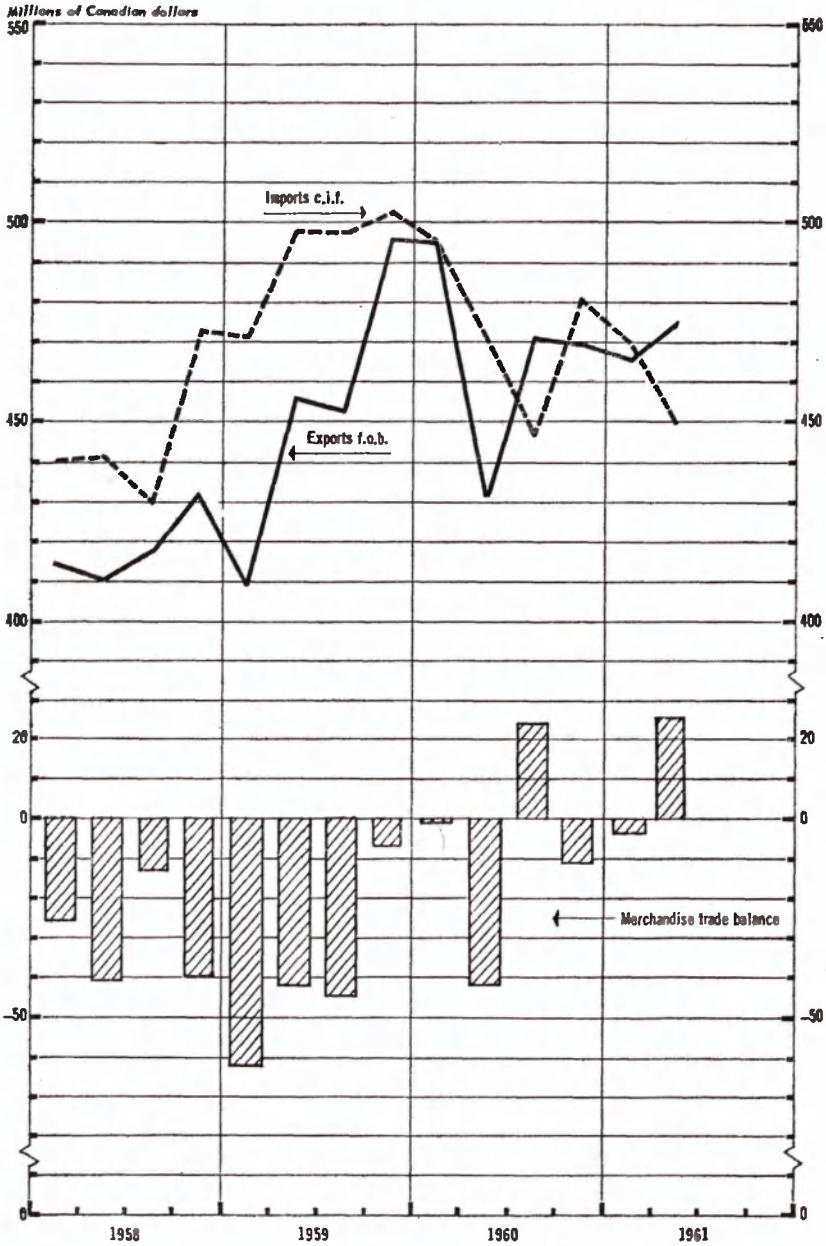
III. FOREIGN TRADE AND PAYMENTS

21. During the last eighteen months, the current account deficit has declined. The inflow of foreign capital has also fallen off somewhat and the changes in official holdings of gold and U.S. dollars have been moderate.

22. The trade deficit in 1960 ($148 million) was the lowest one recorded in several years, and a surplus emerged in the first half of 1961.

Diagram 4. MERCHANDISE TRADE, 1958-1961

SEASONALLY ADJUSTED



Source: General Statistics: Main Economic Indicators, O.E.E.C.

Exports were well maintained in 1960 as declines to the United States were offset by increases to other countries, and they have risen somewhat in the present year. Imports have moved irregularly since the middle of 1959 with no tendency to increase; they fell somewhat in the first half of 1961, due particularly to a sharp drop in the imports of cars. The deficit on non-merchandise transactions has continued to rise; it reached $1,122 million in 1960 and slightly exceeded this level in the first half of 1961. Interest and dividend payments have risen over recent years, reflecting the growth in Canada's indebtedness to other countries and in 1960 represented almost 50 per cent of the total deficit on non-merchandise transactions. Other expenditures such as foreign travel, freight and shipping have also increased but less rapidly recently.

23. The decline in the capital inflow in 1960 took the form of a reduction in non-resident purchases of new and outstanding Canadian securities. Foreign direct investment in Canada was higher than in 1959, but the quarterly figures showed a steady decline after the first months of the year, and this development continued in the first half of 1961; it is too early, however, to judge whether this decline represents a change in trend. On the other hand, in the category " other capital movements ", a substantial inflow occured in the first quarter of 1961, and to a lesser extent in the second quarter, reflecting a variety of transactions occurring for speculative and other reasons.

TABLE 4. FOREIGN LONG-TERM INVESTMENT IN CANADA. SELECTED YEAR-ENDS, 1949-1960

Millions of Canadian dollars.

	1949	1955	1958	1960
Foreign direct investment	3.6	7.7	10.9	12.8
Foreign portfolio investment	4.4	5.8	8.1	9.5
Total long-term investment	8.0	13.5	19.0	22.3
of which				
— owned by the United States	5.9	10.3	14.4	n.a.

Sources: Canada's International Investment Position 1926-1954 (DBS).
The Canadian Balance of International Payments 1959 (DBS).
Bank of Canada Annual Report for the year 1960.

24. The exchange rate has fallen fairly steadily over the last eighteen months from a premium on the U.S. dollar of almost 5 per cent at the beginning of 1960, to a discount of 3.4 per cent in July, 1961. The fall to this discount from a slight premium occurred at the time of the June budget, when policies designed to bring about a lower exchange rate were announced.

IV. FOREIGN INDEBTEDNESS

25. Canada's net indebtedness to other countries has been rising sharply over the past decade — from $3.8 billion in 1949 to $17 billion in 1960 — with a particularly marked increase over the last five years. The increase in long-term foreign capital invested in Canada has been most pronounced in the case of direct investment, which has more than trebled over the last ten years. Foreign direct investment has been heavily concentrated in manufacturing and, after 1951, in extracting industries, influenced by the world shortages that developed during the Korean war. Foreign portfolio investment has also increased significantly, largely because interest rates have been rather higher in Canada than in some other countries, especially the United States, which has been the main source of foreign capital.

TABLE 5. BALANCE OF INTERNATIONAL INDEBTEDNESS SELECTED YEAR-ENDS, 1939-1960

Billions of Canadian dollars.

	1939	1949	1955	1958	1960
Gross liabilities	7.4	9.3	15.3	21.8	26.1
— Long-term	6.9	8.0	13.5	19.0	22.3
— Short-term	0.5	1.3	1.8	2.8	3.8
Gross assets	1.9	5.5	7.4	8.4	9.1
— Long-term	1.4	4.0	4.7	5.1	5.8
— Short-term	0.5	1.5	2.7	3.3	3.3
Net indebtedness	5.5	3.8	7.9	13.4	17.0
— as per cent of G.N.P.	97.5	23.3	29.1	41.2	48.1

Sources: The Canadian Balance of International Payments 1959 (DBS).
Bank of Canada Annual Report for the year 1960.
Canada's International Investment Position 1926-1954 (DBS).

26. Non-resident ownership and control of Canadian industries have grown steadily over past years, with the United States holding a dominating position. At the end of 1957, 52 per cent of all capital employed in manufacturing, mining, oil and natural gas was controlled in the United States, 38 per cent in Canada, and 10 per cent in the United Kingdom and other overseas countries.

V. ECONOMIC POLICY

27. The main objectives of economic policy over the past year have been to ensure a recovery of output and employment, create conditions for faster longer-term growth, and to reduce the current external deficit and the foreign capital inflow. To these ends the authorities have applied both monetary and budgetary weapons, and a wide range

of selective measures have been taken to stimulate or facilitate expansion in particular sectors. The authorities intend to maintain a lower exchange rate in order to improve the current external balance, and various changes in taxation and lower interest rates have been the most important instruments applied to restrict the inflow of foreign capital. The main measures adopted over the past year are described in the following paragraphs while some discussion of the policies pursued has been included in Section VI, Prospects and Conclusions.

28. Monetary conditions eased in early 1960. In the summer, selective measures to stimulate activity were taken and additional measures were announced in the speech from the Throne at the opening of Parliament on November 17th. A supplementary budget was introduced in December, and the 1961-1962 budget was presented in June, 1961.

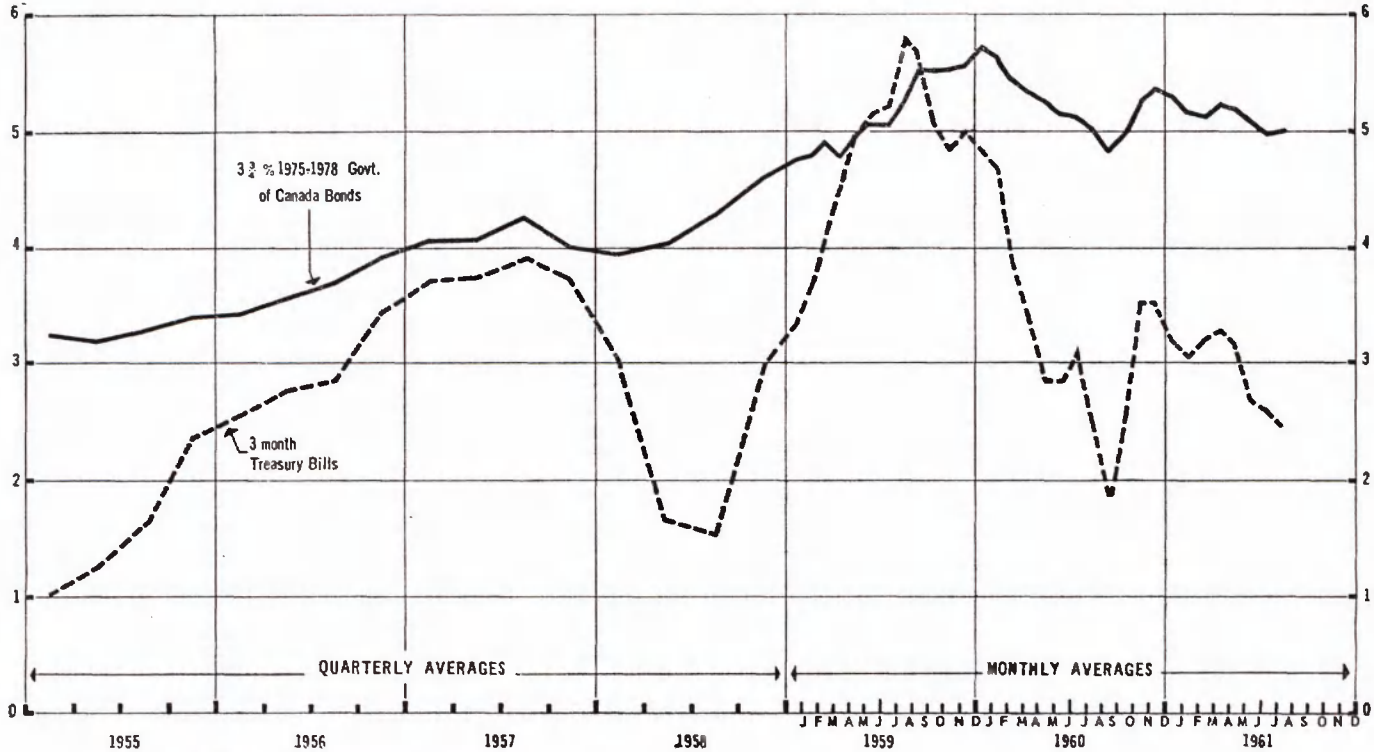
29. A more expansionary budget was adopted for 1961-1962, envisaging a deficit of $650 million, compared with one of $340 million in 1960-1961. Expenditure is expected to rise by 7 to 8 per cent, while revenues are not likely to rise much. Non-budgetary accounts are expected to show a deficit, so that total financial requirements will probably exceed $1 billion, as against about $300 million in 1960-1961.

Monetary policy

30. The easier monetary conditions that developed in the first half of 1960 have been maintained since. Total currency and chartered bank deposits held by the general public have increased by almost 9 per cent over the past year and the liquidity position of the chartered banks has improved. But the movement of interest rates during the last half of 1960 was irregular. There was a general decline in market rates in 1960 until the autumn when an increase in demand for credit, although fairly moderate, led to a sharp increase in interest rates; they have declined again in 1961. The three-month Treasury Bill rate, which had fallen to 1.7 per cent at the end of September, 1960, rose to almost 4 per cent by the end of November; the rate has fallen since, to 2.6 per cent in July. Longer-term rates have shown a similar movement, although with smaller fluctuations. During recent months, market rates in Canada have been stable and interest rate differentials between Canada and the United States have declined. The prime commercial loan rate charged by the Chartered banks remained unchanged at 5 ¾ per cent throughout 1960 but was reduced to 5 ¼ per cent in June 1961. In general, interest rates were higher during the last recession than in previous periods of slack.

31. Chartered Banks' lending turned up in the second quarter of 1961 with an increase in both business and personal loans, but net issues of new securities were rather lower in the first half of 1961 than in the same period last year.

Diagram 5. INTEREST RATES



Source: Bank of Canada Statistical Summary.

SELECTIVE MEASURES

32. In the summer of 1960, the range of home buyers and builders eligible for government housing loans was extended and interest rates on conventional mortgages reduced by private lenders. Payments to the provinces and municipalities for winter work programmes were expanded and financial provisions increased, and the period for seasonal unemployment benefits was prolonged.

33. The measures announced in the speech from the Throne on 17th November included action designed to increase immediate employment opportunities as well as measures of a longer-term nature, although some of the latter might also have a favourable impact in the short run. The first set of measures included another and larger programme of assistance to municipalities for winter work projects, another special winter housing programme, and incentives (including long-term loans) for urban renewal and slum clearance, sewage disposal, hospital construction and the building of student residences in the universities. The other set of measures comprised government guarantees for bank loans to small businesses, extension of assistance given to provincial governments for vocational training and retraining, programmes for rural development, the establishment of a Productivity Council and a number of specific major projects such as extensions of railways, and certain flood control projects.

TABLE 6. FEDERAL BUDGET

Millions of Canadian dollars.

	1958-59 *Actual*	1959-60 *Actual*	1960-61 *Preliminary*	1961-62 *Budget estimate*
1. Revenue	4,754.7	5,289.8	5,615.6	5,765.0
2. Expenditure	5,364.0	5,702.9	5,961.1	6,415.0
3. Budgetary account surplus (+) or deficit (—)	— 609.3	— 413.1	— 345.5	— 650.0
4. Non-budgetary accounts net surplus (+) or net disbursements (—)	— 664.0	+ 37.6	+ 51.5	— 330.0
5. Changes in advances to Exchange Fund Account	— 20.0	+ 35.0	— 64.0	n.a.
6. Overall financial position (3 + 4) surplus (+) requirement (—)	—1,273.3	— 375.5	— 294.0	— 980.0

Source: Department of Finance and Bank of Canada.

34. The supplementary budget included a number of other changes. Income tax regulations were changed in order to assist small business, and capital depreciation allowances at double the normal rate in the first year were to be used to encourage firms to invest in designated

areas of continuing high unemployment, and to aid the development of new products or new processing operations not so far undertaken in Canada. Some changes proposed in the customs tariff concerned a broadening of the interpretation of the words " of a class of kind made in Canada ", which appear in certain items.

35. Canada has continued to experience a large inflow of capital. Formerly, when the economy had been fully employed, capital inflow had been welcomed in Canada since it added to the real resources at the country's disposal. However, in the last three years, because of slower growth and unused capacity, there has been no need for such large capital imports. The effect of this inflow has been to buoy up Canada's floating exchange rate, discouraging exports and encouraging imports. In the supplementary budget it was announced that special tax incentives for capital imports would be removed as quickly as international obligations permitted; all categories of foreign investment would be subject to the flat 15 per cent withholding tax; previously certain types of investments had been exempted from this tax or subjected to a lower tax rate. At the same time, tax incentives were introduced to achieve greater participation of domestic capital in the ownership and control of Canadian industry. The authorities ruled that investment and mutual funds must by 1963 derive at least 75 per cent of their gross revenue in the form of dividends from taxable Canadian corporations, and employee pension schemes 90 per cent of their gross revenue from Canadian sources if they were to continue to be entitled to the special tax advantages they enjoyed.

36. Since the economic situation remained unsatisfactory and the exchange rate failed to fall to the extent desired, the 1961-1962 budget introduced additional measures. External demand was to be stimulated by means of a vigorous export drive, an improvement in export credit facilities, and by the achievement of a more suitable exchange rate. The decline in the exchange rate was to be achieved largely by a reduction of the spreads between interest rates prevailing in Canada and those abroad, especially in New York. In order to facilitate the flow of Canadian savings into areas of capital demand at interest rates more in line with those abroad, a number of measures were announced, including the establishment of a purchase fund for the retirement and management of government debt, an increase in the resources of the Industrial Development Bank, and for the longer term, the establishment of a Royal Commission on Banking and Finance. In order to hasten the movement of the exchange rate which the implementation of these measures might achieve, it was announced that it was the view of the government that under existing circumstances the Canadian dollar should move to a significant discount, and that to this end the Government was prepared to add to its holdings of foreign exchange reserves. In the event the official reserves at the beginning of September were somewhat lower, not higher, than they were at the beginning of June.

37. Additional steps to stimulate domestic demand included more favourable depreciation allowances and the removal of the excise tax on automobiles.

VI. PROSPECTS AND CONCLUSIONS

38. The upturn in activity that began in the second quarter is likely to continue in the months ahead. The strong recovery in the United States is of course of major importance, and the decline in the exchange rate should have a favourable influence. Internally, more expansionary fiscal and monetary policies and the wide range of other measures taken to facilitate growth should create favourable conditions for expansion.

39. A further increase in exports is probable, and government spending is growing. With employment and incomes rising, private consumption is likely to revive. Residential construction, which recovered last year, should remain high and perhaps rise somewhat. In view of the high rate of under-utilisation of capacity in many industries, an immediate sharp increase in business capital outlays would seem improbable. But as the recovery gathers momentum and capacity becomes more fully employed, a gradual strengthening of investment demand can be expected. Some accumulation of inventories is to be expected as the expansion proceeds, but the modest liquidation of inventories in the recession suggests that any very strong accumulation is unlikely unless a very pronounced early firming of business confidence develops.

40. Since a continuing expansion of activity now seems to be assured, employment should continue to rise. But with the labour force growing rapidly it seems probable that the absorption of unemployment will proceed only gradually. The existing high level of unemployment has largely been caused by the moderate advance in activity coupled with the rapid growth of the labour force. Any particular problems on the supply side should therefore not arise in the early stage of recovery. But as the expansion matures, efficient allocation of resources will become increasingly important and the measures adopted by the Canadian authorities to promote labour mobility and training will be helpful in relation both to the short-run cyclical situation and to the longer-run growth of the economy.

41. On external account, the improvement of the trade balance is likely to continue. Exports should rise, stimulated by the U.S. recovery and by increased shipments of grains. Moreover, the decline in the exchange rate should have a favourable effect both on the trade and the services account. Capital movements are obviously difficult to forecast. However, any major change in the volume of direct investment would not seem likely in the near future; faster expansion in Canada may stimulate such investment, while the measures taken by

the authorities should work in the opposite direction. With policies now aiming at a reduction of the spread between interest rates in Canada and abroad, particularly New York, the raising of funds outside Canada may decline.

42. However, a steady improvement of the trade balance will obviously depend on the relative movement of costs and prices in Canada and in other countries. Canadian prices will be affected to some extent by the decline in the exchange rate since imports of goods and services amount to about one-fourth of the gross national product. Moreover, the 3 per cent sales tax introduced by Ontario will have an additional effect. On the other hand, the consumer price index was affected in July by the removal of the excise tax on cars, and ample capacity and the scope for increased productivity should act to restrain price increases. The success of the exchange rate policy will depend upon producers making the best use of the advantages which it has conferred upon them.

43. Beyond the immediate recovery phase, the task facing the Canadian Government is to ensure continuing satisfactory rates of growth and levels of employment, while achieving the improvement in the structure of the Canadian balance of payments which is sought. To this end, they are seeking to promote higher activity in the commodity producing industries of the economy, based on greater participation by Canadian producers in both export and domestic markets. Another objective of policy is that investment should be financed to a greater extent than heretofore from Canadian savings. Steps are being taken to reduce interest rate differentials between Canada and the United States, thereby discouraging excessive imports of capital and reducing the upward pressure on the external value of the Canadian dollar. At the same time efforts are being made to improve the efficiency of the Canadian capital market. These measures are necessary conditions for continued success of exchange rate policy and for mobilizing a greater amount of Canadian savings for the financing of domestic investment. The reduction in the external value of the Canadian dollar which has taken place will improve the competitive position of Canadian industry in both export and domestic markets. The improvement in the balance of trade which this is intended to bring about will permit fuller utilization of existing capacity.

44. The measures adopted to reduce imports of capital represent an important change in Canadian policies. Various arguments have been used in favour of action in this direction. While it is generally recognised in Canada that foreign investment has contributed to the rapid development of the Canadian economy, concern has been expressed about the sharp rise in Canada's international indebtedness, the increasing burden of interest and dividend payments to other countries, and the growing foreign control over Canadian industry. It has been argued that the substantial inflow of foreign capital has led to excessive reliance

on capital-intensive resource development, and that it has put upward pressure on the foreign exchange value of the Canadian dollar, impairing the competitive position of secondary industries and aggravating the unemployment problem.

45. It can, on the other hand, be argued that foreign indebtedness and transfers of interest and dividends, although rising in absolute terms, represent a much smaller proportion of national income today than, for example, twenty years ago. While past relationships do not necessarily provide an appropriate norm for today, they give some perspective to the problem. Moreover, a large proportion (about half) of gross foreign liabilities consist of direct investment rather than fixed interest obligations.

46. It is clear, however, that policies relating to capital imports cannot be based exclusively on pure economic considerations. While the inflow of foreign capital, accompanied by " know-how " and new techniques, has contributed to the fast growth of the Canadian economy, foreign direct investment on the scale experienced by Canada may also create problems. In 1957, almost two-thirds of the capital employed in manufacturing and mining was controlled by non-residents. Recent discussion in Canada has therefore to a great extent been concerned about the implications of this heavy reliance on foreign capital for economic policy.

47. The measures taken to influence foreign direct investment are not dramatic and are not likely to have any very considerable impact in the immediate future. But they should have a restraining effect in the longer run. In the near future, the effect of lower interest rates on portfolio investment, particularly Canadian borrowing abroad, will probably be the most important factor.

48. However, as far as the issue of Canadian securities abroad is concerned, the achievement of lower capital imports would seem to depend not only on a general tendency towards a reduction of interest rate differentials, but also on the development of a broader and more sophisticated domestic capital market. Debt management policies are important in this respect, particularly at a time when the government's cash requirements are substantial.

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STATISTICAL ANNEX

TABLE I. GROSS NATIONAL PRODUCT AND EXPENDITURES

SEASONALLY ADJUSTED ANNUAL RATES — CURRENT PRICES

Millions of Canadian dollars.

	1959	1960	1959	1960				1961	
			4th QTR	1st QTR	2nd QTR	3rd QTR	4th QTR	1st QTR	2nd QTR
Personal expenditure on consumer goods and services	22,482	23,409	22,920	22,896	23,376	23,420	23,944	23,856	24,180
Government expenditures on goods and services	6,416	6,716	6,400	6,488	6,620	6,832	6,924	6,988	7,188
Business gross fixed capital formation	6,894	6,612	6,992	6,916	6,384	6,500	6,648	6,420	6,128
of which:									
— New residential construction	1,734	1,476	1,724	1,640	1,396	1,444	1,424	1,512	1,436
— New non-residential construction	2,589	2,567	2,652	2,608	2,476	2,584	2,600	2,416	2,416
— New machinery and equipment	2,571	2,569	2,616	2,668	2,512	2,472	2,624	2,492	2,276
Value of physical change in inventories	+ 297	+ 316	+ 184	+ 752	+ 424	— 132	+ 220	— 316	— 384
Exports of goods and services	6,676	6,957	7,044	7,172	6,676	7,168	6,812	7,148	7,252
less: Imports of goods and services	— 8,115	— 8,148	— 8,288	— 8,292	— 8,100	— 8,052	— 8,148	— 8,384	— 8,084
Residual error of estimate	+ 207	+ 97	+ 244	+ 72	+ 176	+ 104	+ 36	— 44	—
Gross National Expenditure at market prices = GROSS NATIONAL PRODUCT	34,857	35,959	35,496	36,004	35,556	35,840	36,436	35,668	36,280

Source: National Accounts, Income and Expenditure DBS).

TABLE II. INDUSTRIAL PRODUCTION, EMPLOYMENT AND OTHER BUSINESS INDICATORS

	BASIS	UNIT	1959	1960	1959 4th QTR	1960 1st QTR	1960 2nd QTR	1960 3rd QTR	1960 4th QTR	1961 1st QTR	1961 2nd QTR
1. INDUSTRIAL PRODUCTION											
All industries	Seasonally adjusted index	1953 = 100	129	130	131	133	130	128	129	128	132
Mining	»	»	177	178	183	183	178	177	175	177	185
Manufacturing durables	»	»	112	109	113	115	109	106	107	104	107
Non-durables	»	»	125	127	127	128	126	126	128	128	130
2. NEW RESIDENTIAL CONSTRUCTION											
Starts	Seasonally adjusted annual rates	Thousands of dwelling units	141	109	158	112	92	109	131	164	118
Completions			146	124	138	147	127	128	106	117	111
Under construction	End of period, unadjusted	»	82	66	82	64	66	69	66	59	72
3. EMPLOYMENT AND UNEMPLOYMENT											
Civilian Labour Force	Unadjusted monthly averages	Thousands	6,228	6,403	6,256	6,218	6,368	6,563	6,462	6,371	6,525
Employment in all industries	Seasonally adjusted index	1953 = 100	106	105	106	106	105	105	104	103	103
Mining	»	»	111	108	112	111	107	109	106	103	105
Manufacturing: Durables	»	»	93	91	94	95	92	89	88	88	88
Non-durables	»	»	103	103	103	103	103	103	103	106	103
Construction	»	»	110	106	111	107	107	105	107	102	100
Unemployment (including workers on temporary lay-off)	Unadjusted averages	Thousands	373	448	325	585	429	336	442	706	483
»	Percentage of civilian Labour Force, unadjusted	Per cent	6.0	7.0	5.2	9.4	6.8	5.1	6.8	11.1	7.4
»	Seasonally adjusted index	1956 = 100	188	229	189	206	222	237	252	257	250
»	Percentage of civilian Labour Force, seasonally adjusted	Per cent	6.0	7.0	5.9	6.4	6.9	7.3	7.7	7.8	7.5
Unfilled vacancies (as reported to the Unemployment Insurance Branch, DBS)	Unadjusted averages	Thousands	28	26	24	20	34	27	23	19	
Average hours worked in manufacturing	Seasonally adjusted	Hours per week	40.7	40.4	40.7	40.5	40.2	40.3	40.4	40.3	40.6
4. RETAIL SALES	Seasonally adjusted monthly averages	Millions of Canadian dollars	1,357	1,368	1,363	1,350	1,364	1,362	1,388	1,362	1,368
5. INVENTORIES											
Manufacturing	Stocks owned, end of period, seasonally adjusted	Millions of Canadian dollars	4,148	4,260	4,148	4,217	4,278	4,253	4,260	4,242	4,227
»	Stocks held, end of period, unadjusted	»	4,460	4,476	4,460	4,565	4,573	4,497	4,476	4,550	4,440
of which: — Raw materials	»	»	2,017	2,019	2,017	2,009	1,992	1,995	2,019	1,993	1,924
— Goods in process	»	»	1,134	1,067	1,134	1,115	1,137	1,113	1,067	1,090	1,070
— Finished products	»	»	1,309	1,390	1,309	1,441	1,445	1,390	1,390	1,467	1,446
6. ORDERS IN MANUFACTURING											
New orders received	Unadjusted monthly averages	Millions of Canadian dollars	1,952	1,936	1,992	1,905	1,962	1,929	1,946	1,858	1,977
of which: — Consumers goods industry	»	»	581	570	593	528	563	600	519	541	567
— Capital goods industry	»	»	151	138	155	156	148	120	127	139	142
Unfilled orders	End of period, unadjusted	»	2,116	1,901	2,116	2,204	2,078	1,968	1,901	2,021	2,001

Sources: Canadian Statistical Review (DBS).
Bank of Canada Statistical Summary.

TABLE III. PRICES AND WAGES

	BASIS	UNIT	1958	1959	1960	1959	1960				1961	
						4th QTR	1st QTR	2nd QTR	3rd QTR	4th QTR	1st QTR	2nd QTR
CONSUMER PRICES	Index, not seasonally adjusted	1953 = 100	108	110	111	111	110	110	111	112	112	112
of which:												
— Food	»	»	108	108	108	110	107	107	108	111	110	110
GENERAL WHOLESALE PRICES	Index, not Seasonally adjusted	1953 = 100	103	105	105	104	104	105	105	104	105	105
of which:												
— Raw and semi-manufactured products	»	»	101	102	101	101	101	102	102	100	101	101
— Manufactured products	»	»	104	106	106	106	106	106	106	106	107	106
— Canadian form products	»	»	101	101	99	99	98	102	99	98	99	97
HOURLY EARNINGS IN MANUFACTURING	Averages, not seasonally adjusted	Canadian dollars	1.66	1.72	1.78	1.75	1.77	1.79	1.77	1.80	1.82	1.84

Sources: Canadian Statistical Review (DBS).
General Statistics(O.E.E.C.).

TABLE IV, MONEY AND BANKING

	BASIS	UNIT	1958	1959	1960	1959 4th QTR	1960 1st QTR	1960 2nd QTR	1960 3rd QTR	1960 4th QTR	1961 1st QTR	1961 2nd QTR	1961 3rd QTR
Three-month Treasury bill yield[1]	Average of wednesdays	Per cent	2.29	4.81	3.20	4.98	4.41	2.94	2.52	3.25	3.16	3.07	2.50
Government of Canada 3 ¾ per cent 1974-76 bonds yield	»	»	4.05	5.00	5.11	5.30	5.40	5.13	4.84	5.08	5.18	5.15	4.97
Currency outside banks	End of period	Millions of Canadian dollars	1,781	1,832	1,876	1,832	1,772	1,894	1,892	1,876	1,894	1,929	n.a.
BANK OF CANADA	End of period	Millions of Canadian dollars											
Holdings of:													
Treasury bills			35.9	305.9	404.4	305.9	398.9	392.1	336.0	404.4	303.9	276.7	326.9
Government bonds:													
— up to 2 years' maturity	»	»	245.2	514.5	353.4	514.5	416.8	449.2	518.4	353.4	331.4	438.2	424.0
— 2 to 10 years' maturity	»	»	1,014.3	485.6	744.8	485.6	415.0	583.4	583.9	744.8	790.6	763.4	879.8
— over 10 years' maturity	»	»	1,326.4	1,314.7	1,187.2	1,314.7	1,315.1	1,184.8	1,186.7	1,187.2	1,183.6	1,183.9	1,180.8
Total	»	»	2,621.8	2,620.6	2,689.7	2,620.6	2,545.7	2,609.4	2,624.9	2,689.7	2,609.6	2,662.2	2,811.5
CHARTERED BANKS	End of period	Millions of Canadian dollars											
Deposits[2]			12,690	12,279	12,921	12,279	11,929	12,249	12,279	12,921	12,720	12,904	n.a.
of which:													
— personal savings deposits	»	»	6,844	6,900	7,215	6,900	7,068	7,141	7,310	7,215	7,484	7,549	n.a.
Liquid assets	Daily averages	»	1,967	2,002	2,081	2,003	2,066	2,049	2,068	2,139	2,247	2,235	2,402
Liquid asset rates	»	Per cent	17.2	16.4	17.3	16.6	17.3	17.2	17.1	17.5	17.9	17.8	18.7
Holdings of Government of Canada direct and guaranteed bonds	End of period	Millions of Canadian dollars	2,562	1,827	2,088	1,827	1,928	1,969	1,983	2,088	2,197	2,240	n.a.
Loans[3]	»	»	5,411	6,142	6,534	6,142	6,059	6,162	6,138	6,534	6,363	6,479	n.a.
CONSUMER CREDIT OUTSTANDING[4]	»	»	2,030	2,205	2,337	2,205	2,119	2,219	2,255	2,337	2,214	2,255	n.a.
NATIONAL HOUSING ACT MORTGAGE LOANS	Period totals	»	908.3	674.7	409.7	133.4	21.7	99.4	118.2	170.3	132.4	245.6	n.a.
SECURITY ISSUES	»	»	3,054	2,278	1,931	823	611	445	157	719	439	506	n.a.
of which:													
— Government securities	»	»	1,252	723	612	459	176	—136	—64	637	7	8	n.a.
— Provincial and municipal bonds	»	»	937	896	795	259	165	346	194	90	304	192	n.a.
— Corporate bonds	»	»	661	104	269	48	168	118	23	—40	18	143	n.a.
— Corporate stocks	»	»	311	403	232	33	45	111	44	33	64	153	n.a.
SHARE PRICES	Index	1953 = 100	149	166	156	160	156	156	154	157	178	195	n.a.
CORPORATION PROFITS BEFORE TAXES	Period totals, all industries, seasonally unadjusted	Millions of Canadian dollars	2,988	3,401	3,200	887	724	875	823	778	600	901	n.a.

1. Since 1st November, 1956, the Bank Rate has been one quarter of 1 per cent above the latest weekly average tender rate for 91-day Treasury bills.
2. Including Government of Canada deposits.
3. Excluding day-to-day loans (included in liquid assets).
4. Finance company and retail dealer credit extended to consumers.

Sources: Bank of Canada Statistical Summary.
Canadian Statistical Review (DBS).
General Statistics (O.E.E.C.)

TABLE V. PUBLIC FINANCE: GOVERNMENT OF CANADA

FINANCIAL YEARS

Millions of Canadian dollars.

	1956-57	1957-58	1958-59	1959-60	1960-61[1]	1961-62[2]
1. BUDGETARY REVENUE	5,106.5	5,048.8	4,754.7	5,289.8	5,615.6	5,765.0
of which:						
— Personal income tax	1,400.5	1,499.8	1,353.5	1,566.6	1,711.2	1,815.0
— Corporate income tax	1,268.3	1,234.8	1,020.6	1,142.9	1,276.6	1,200.0
— Sales tax	717.1	703.2	694.5	732.7	720.6	785.0
— Excise taxes and duties	540.1	550.9	558.5	622.7	635.6	645.0
— Customs import duties	549.1	498.1	486.5	525.7	498.7	500.0
2. BUDGETARY EXPENDITURE	4,849.0	5,087.4	5,364.0	5,702.9	5,961.1	6,415.0
of which:						
— National defence and defence production	1,779.9	1,683.5	1,438.6	1,532.5	1,539.4	1,642.7
— Public debt charges	534.1	567.4	648.0	783.4	797.2	773.1
— Subsidies etc., to provinces	395.4	382.7	467.0	519.0	537.8	543.4
— Family allowances	397.5	437.9	474.8	491.2	506.2	523.0
3. BUDGETARY ACCOUNT surplus (+) or deficit (—)	+257.5	—38.6	—609.3	—413.1	—345.5	—650.0
4. NON-BUDGETARY ACCOUNTS net receipts (+) or net disbursements (—)	+165.8	—126.3	—664.0	+37.6	+51.5	—330.0
of which:						
— Central Mortgage and Housing Corporation	+4.1	—107.5	—335.6	—315.1	—191.8	—240.0
— Canadian National Railways	—172.1	+10.7	—199.0	+261.4	+116.5	—110.0
— St. Lawrence Seaway Authority	—56.0	—99.2	—106.1	—33.1	—24.0	n.a.
— Changes in advances to Exchange Fund Account	—71.0	+46.0	—20.0	+35.0	—64.0	n.a.
5. OVERALL FINANCIAL POSITION (3 + 4) surplus (+), requirement (—)	+423.3	—164.9	—1,273.3	—375.5	—294.0	—980.0[3]
6. FINANCING						
Increase (+) in unmatured debt outstanding	—1,039.2	—123.3	+1,329.0	+316.0	+177.8	n.a.
Decrease (+) in securities investment account holdings	+517.3	+124.4	—18.2	+20.1	—23.6	n.a.
Decrease (+) in sinking fund holdings	—	—0.9	+128.5	—2.1	+68.6	n.a.
Decrease (+) in cash balances	+98.6	+164.7	—166.0	+41.5	+71.2	n.a.

1. Preliminary.
2. Budget estimates, June 1961.
3. Excluding transactions in respect of the Exchange Fund Account.

Sources: Bank of Canada Statistical Summary, and Canadian House of Commons Debates, Official Report.

TABLE VI. FOREIGN TRADE AND PAYMENTS

	BASIS	UNIT	1958	1959	1960	1959 4th QTR	1960 1st QTR	1960 2nd QTR	1960 3rd QTR	1960 4th QTR	1961 1st QTR	1961 2nd QTR
IMPORTS	F.o.b. monthly averages	Millions of Canadian dollars	420.9	459.1	457.7	467.0	442.1	493.2	432.0	463.6	429.0	496.3
of which from:												
— United States	»	»	288.3	309.1	307.7	306.4	313.5	332.6	280.8	304.2	299.2	331.2
— Western Europe[1]	»	»	25.4	30.5	31.5	34.4	25.5	35.1	30.5	35.0	24.0	n.a.
EXPORTS (including re-exports)	F.o.b. monthly averages	Millions of Canadian dollars	407.8	428.3	449.7	482.4	430.5	437.4	464.4	466.6	419.9	473.8
of which to:												
— United States	»	»	241.3	265.2	253.2	293.5	256.1	255.3	256.4	244.5	223.2	255.5
— Western Europe[1]	»	»	46.4	38.3	50.3	47.1	42.5	42.0	54.1	62.7	47.9	n.a.
VISIBLE TRADE BALANCE	Monthly average	»	—13.1	—30.8	—8.8	+15.4	—11.6	—55.8	+32.4	+3.0	—9.1	—22.5
Volume of imports	Index	1953 = 100	112	124	122	127	119	130	114	123	112	n.a.
Volume of exports	»	»	115	118	124	133	119	120	128	128	115	129
Prices of imports	»	»	106	105	106	104	105	107	107	106	108	n.a.
Prices of exports	»	»	102	104	104	104	104	105	104	104	104	104
BALANCE OF PAYMENTS:												
Current balance	Period totals	Millions of Canadian dollars	—1,131	—1,494	—1,270	—303	—321	—470	—122	—304	—347	—323
of which with:												
— United States	»	»	—1,176	—1,241	—1,377	—287	—341	—447	—166	—402	—441	—440
— Direct investment in Canada	»	»	420	550	690	183	208	155	179	148	125	140
— Portfolio securities	»	»	610	617	218	145	202	102	18	—96	55	139
— Other capital movements	»	»	101	327	362	—25	—89	213	—75	252	167	44
Official holdings of gold and U.S. dollars	End of period	Millions of Canadian dollars	1,939.1	1,869.2	1,829.2	1,869.2	1,856.1	1,773.9	1,813.0	1,829.2	1,934.9	1,985.2
U.S. dollar exchange rate	Average noon spot rates	Canadian cents	97.06	95.90	96.97	94.97	95.19	97.44	97.36	97.92	98.99	99.40[2]

1. Includes Austria, Belgium and Luxembourg, Denmark, Finland, France, Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Netherlands Norway, Portugal, Spain, Sweden and Switzerland.

2. July figure 103.41, August 103.15, September 103.1.

Sources: Canadian Statistical Review (DBS); Bank of Canada Statistical Summary; General Statistics (O.E.E.C.).

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